

SCHEDULE B: DONOR-IMPOSED RESTRICTIONS AND FINANCIAL COVENANTS

1. Purpose and Scope of Funds

1.1 Project Restriction: Total grant funds distributed under this agreement are strictly restricted to the **"Rural Literacy and Digital Skills Initiative (Phase 2)"**. Funds must be deployed exclusively for project activities targeting primary school students in the **Eastern Cape province**.

1.2 Non-Diversion: Funds may not be diverted to general operating costs, head-office capital investments, or any other organizational programs without the express, written, prior approval of the Donor.

2. Allowable vs. Prohibited Costs

2.1 Permissible Expenditures: Funds may only be utilized for direct project inputs, defined as:

- Curriculum materials, student workbooks, and localized reading publications.
- Basic, entry-level digital learning tablets for classroom distribution (not to exceed a unit cost of **ZAR 3,500**).
- Stipends and travel re-imbursements for field-based literacy facilitators.

2.2 Prohibited Expenditures: Under no circumstances shall grant funds be used for:

- Premium electronics, high-end laptops, or entertainment devices (e.g., smart TVs, gaming consoles) for staff or administrative use.
- Executive or head-office hospitality, catering, alcohol, or luxury travel.
- Marketing, public relations, or external promotional campaigns.

3. Financial and Procurement Thresholds

3.1 Administrative Overhead Cap: Indirect administrative overheads (e.g., central accounting support, head-office utilities) allocated to this grant must not exceed **5% of the total budget**.

3.2 Currency & Procurement Restrictions: All transactions, vendor quotes, and final invoices must be denominated, processed, and settled in **South African Rand (ZAR)**. International cross-border procurement or foreign currency payments are strictly prohibited.

3.3 Procurement Thresholds: Any single line-item procurement exceeding **ZAR 20,000** requires the NGO to obtain a minimum of three (3) independent vendor competitive quotes, to be archived for subsequent audit verification.